

Y Combinator SAFE Agreement Template

Simple Agreement for Future Equity (SAFE)

Version: Post-Money SAFE with Valuation Cap

SAFE AGREEMENT

THIS CERTIFIES THAT in exchange for the payment by INVESTOR NAME of \$INVESTMENT AMOUNT on or about [DATE], [COMPANY NAME], a Delaware corporation (the “Company”), issues to the Investor the right to certain shares of the Company’s Capital Stock, subject to the terms described below.

1. Events

(a) Equity Financing

If there is an Equity Financing before the termination of this Safe, on the initial closing of such Equity Financing, this Safe will automatically convert into the number of shares of Safe Preferred Stock equal to the Purchase Amount divided by the Conversion Price.

(b) Liquidity Event

If there is a Liquidity Event before the termination of this Safe, this Safe will automatically be entitled to receive a portion of Proceeds.

© Dissolution Event

If there is a Dissolution Event before the termination of this Safe, the Investor will automatically be entitled to receive a portion of Proceeds.

2. Definitions

“**Capital Stock**” means the capital stock of the Company, including, without limitation, the “Common Stock” and the “Preferred Stock.”

“**Conversion Price**” means the price per share equal to the Post-Money Valuation Cap divided by the Company Capitalization.

“**Post-Money Valuation Cap**” means \$[VALUATION CAP].

“**Discount Rate**” means [DISCOUNT]%.

3. Company Representations

(a) The Company is a corporation duly organized, validly existing and in good standing under the laws of Delaware.

(b) The execution, delivery and performance of this Safe is within the power of the Company.

© The Company has all necessary corporate power to execute and deliver this Safe.

4. Investor Representations

(a) The Investor has full legal capacity, power and authority to execute and deliver this Safe.

(b) The Investor is an accredited investor as such term is defined in Rule 501 of Regulation D.

5. Miscellaneous

(a) Any provision of this Safe may be amended, waived or modified by written consent of the Company and the Investor.

(b) This Safe shall be governed by Delaware law.

COMPANY: [COMPANY NAME]

By: _____ Name: Title:

INVESTOR: [INVESTOR NAME]

By: _____ Name: Title:

This is a template document. Please consult with legal counsel before use.

Source: Y Combinator - <https://www.ycombinator.com/documents>